investigation teams confirmed that materials, tools and machinery were neglected or even deliberately damaged. In the Shijiazhuang Iron and Steel Company, for instance, half of the engines broke down frequently.'[78] Dikötter concludes that 'a culture of waste developed. In Luoyang, three factories alone had accumulated more than 2,500 tonnes of scrap metal that went nowhere. In Shenyang, sloppy streamlets of molten copper and nickel solution ran between heaps of scrap metal.'[79]

It was on 25 March 1959, in the midst of all this chaos, that the expanded Politburo of the CCP met in Shanghai. The issue that topped the agenda of the meeting was, naturally, the Great Leap Forward. But the Tibetan revolt had just been crushed, and the Dalai Lama had fled to India. So, that topic was also raised. Already before the conference, Zhou Enlai had accused both Britain and the United States of having provided support for the uprising. India, as a frontline state, must have been involved as well, according to Zhou.

At the Shanghai meeting, Deng Xiaoping reiterated what Zhou had stated, but argued that the time was not yet ripe for Beijing to condemn India openly.[80] While it was not yet clear exactly when China was going to 'settle accounts' with the Indians, this was an issue where everyone was in complete agreement. Deng, along with Liu Shaoqi, belonged to those who were advocating more realistic economic policies than those implemented by Mao. But Deng was as much a hardliner as Mao when it came to dealing with Tibet and what the Communist leaders considered to be national security issues. The question was only when India should be 'taught a lesson'.

Despite the consensus on issues relating to Tibet and India, Mao was still in trouble. The failures of the Great Leap Forward had shaken his leadership position and the Shanghai meeting endorsed his retirement from his post as the Chairman of the People's Republic, or the de facto head of state. That post was given to the much more moderate Liu Shaoqi. But Mao stayed on as Chairman of the Party and, to the best of his ability, continued to manipulate events from behind the scenes.

A major problem for everyone in the top leadership was that they could not trust their underlings in the provinces. To conceal the disastrous outcome of the Great Leap Forward, and perhaps in an attempt to avoid being punished for failures, production figures in all fields were falsified in